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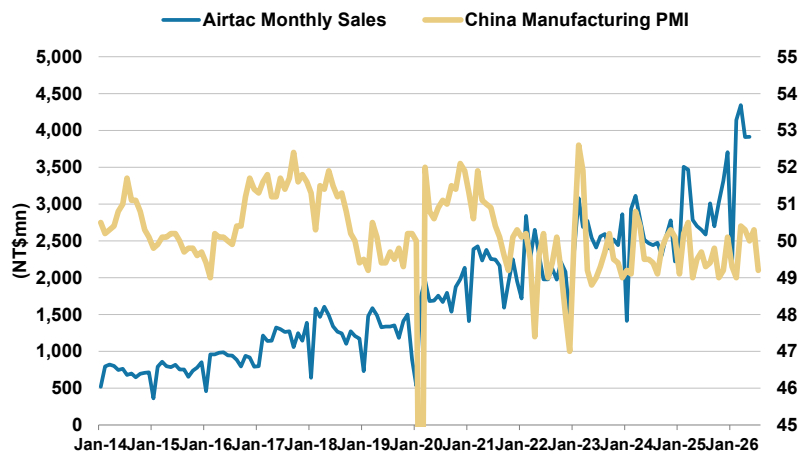
AirTAC International | Asia Pacific

Chart of the Day: China's Manufacturing PMI vs. AirTAC's Monthly Sales

Key Takeaways

- Historically, China's manufacturing PMI and AirTAC's monthly sales (90%+ from China) have been highly correlated.
- China's manufacturing PMI in July was 49.2 (vs. 50.3 in June).

Exhibit 1: China's Manufacturing PMI vs. AirTAC monthly sales



Source: NBS, company data, Morgan Stanley Research

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AirTAC International (1590.TW, 1590 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight			
Industry View	In-Line			
Price target	NT\$2,000.00			
Up/downside to price target (%)	51			
Shr price, close (Jul 31, 2026)	NT\$1,325.00			
52-Week Range	NT\$1,600.00-741.00			
Sh out, dil, curr (mn)	200			
Mkt cap, curr (mn)	US\$8,212			
EV, curr (mn)	US\$8,063			
Avg daily trading value (mn)	US\$33			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	41.97	60.77	68.77	77.77
EPS (NT\$)§	41.43	57.68	66.43	74.32
Revenue, net (NT\$ mn)	34,330	45,007	50,917	57,428
EBITDA (NT\$ mn)	12,866	17,543	19,669	22,130
ModelWare net inc (NT \$ mn)	8,400	12,165	13,765	15,567
P/E	22.2	21.8	19.3	17.0
P/BV	3.5	4.5	4.0	3.5
RNOA (%)	17.7	25.1	25.9	27.3
ROE (%)	17.5	23.1	23.4	23.4
EV/EBITDA	14.1	14.7	13.0	11.3
Div yld (%)	2.2	2.2	2.3	2.6
FCF yld ratio (%)	3.4	2.8	3.6	4.1
Leverage (EOP) (%)	(9.1)	(11.0)	(15.2)	(18.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

AirTAC International (1590.TW)

Base case, 29x 2027e P/E. We believe this methodology better captures earnings growth momentum for industrial automation component plays (market sentiment moves along with business cycles). As the industry enters an up-cycle, we think applying a near-peak cycle valuation of 29x P/E is reasonable given the stronger business outlook.

Risks to Upside

- Stronger macroeconomic climate in China
- Stronger-than-expected demand from industrial automation

Risks to Downside

- Sharper economic downturn in China
- Miniature linear guideway business development taking more time
- Larger-than-expected investment in new products but weaker-than-expected demand

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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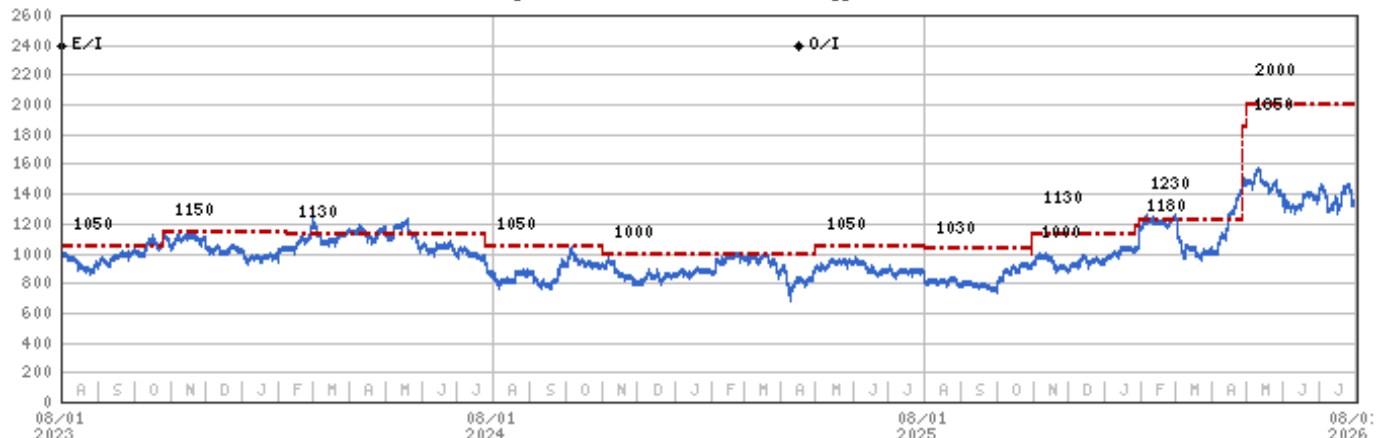
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Stock Price, Price Target and Rating History (See Rating Definitions)

AirTAC International (1590.TW) - As of 08/02/26 GMT in TWD Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : O/I; 11/8/21 : E/I; 1/11/22 : O/I; 8/4/22 : E/I; 4/16/25 : O/I

Price Target History: 4/29/21 : 1567.27; 8/5/21 : 1379.98; 10/4/21 : 1300; 11/8/21 : 870; 1/11/22 : 1250; 3/24/22 : 1150; 8/4/22 : 850; 10/27/22 : 600; 1/16/23 : 1050; 2/8/23 : 1100; 4/26/23 : 1150; 7/28/23 : 1050; 10/26/23 : 1150; 2/7/24 : 1130; 7/25/24 : 1050; 11/1/24 : 1000; 4/30/25 : 1050; 8/1/25 : 1030; 10/30/25 : 1000; 10/31/25 : 1130; 1/27/26 : 1180; 1/30/26 : 1230; 4/28/26 : 1850; 4/30/26 : 2000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$38.54
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb161.65
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.48
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.95
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.72
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb396.01
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$481.00
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb23.10
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.66
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb37.65
Largan Precision (3008.TW)	O (07/10/2026)	NT\$4,035.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.79
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.40
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb57.48
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.22
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.88
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb45.28
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$31.62
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb64.47
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$56.05
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb171.01
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.59
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$28.78
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb271.50

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$96.75
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb88.01
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.29
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb902.01
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$24.86
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.81
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,125.00
Advantech (2395.TW)	O (01/20/2021)	NT\$563.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,325.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,320.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$24.20
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$902.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,100.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.51
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,045.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,100.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,640.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$189.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$48.05
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,350.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$304.50
Innolux (3481.TW)	E (04/07/2025)	NT\$45.50
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$7,850.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb31.58
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$209.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.73
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.47
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb191.00
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$28.85
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$810.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$183.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$4.70
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb56.70
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$336.50
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$793.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.81
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$1,630.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$23.86
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,855.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$920.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$84.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$291.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb105.64
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb308.00
Unimicron (3037.TW)	O (02/23/2026)	NT\$787.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$292.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$176.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,390.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$502.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$413.50

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